# Protecting Capital Against Market Meltdowns

## Turning Point Dates Capital Protection System
## 20+ Years Backtested Risk Tool for Institutional Portfolios

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# The Story in a Nutshell

- The client: concerned about underperformance and capital loss
- The cost of being unprepared for a 20% market crash: about 20m per 100m AUM, plus years of recovery and lost compounding
- The "Doing nothing" attitude: it may feel safe, but it is still a risk decision
- The product: TP Dates CP
  (Turning Point Dates Capital Protection)
- The method: machine learning, pattern recognition, AI and behavioural finance (250 td $\longrightarrow$ $\sim$12 TP candidate dates)
- The experience: 30+ years in quantitative finance, including Eurohedge Award-winning PM track record
- Proof point: this month PM testimonial

# Value Proposition to Asset Manager / CIO

- Market crashes erode the capital base of long–only, long–term investors
- TP Dates CP (Turning Point Dates Capital Protection) provides an early warning protection system designed as a risk management (not a trading) tool to mitigate the impact of market crashes
- Identify time windows in advance, within the year, with elevated crash risk based on ML/AI analysis of investor sentiment patterns
- Targeted, minimal intervention hedge overlay strategy (3 times a year max, implemented via futures & options) protects portfolios without liquidating core holdings or major transaction costs
- Portfolio–specific reports, fully customised and delivered daily or weekly, integrate seamlessly into existing workflows
- 20+ years backtest (more information available upon request)

# TP Dates CP Greed–Fear Risk Management Tool

- **Daily/weekly custom reports**

  Primary use: downside protection

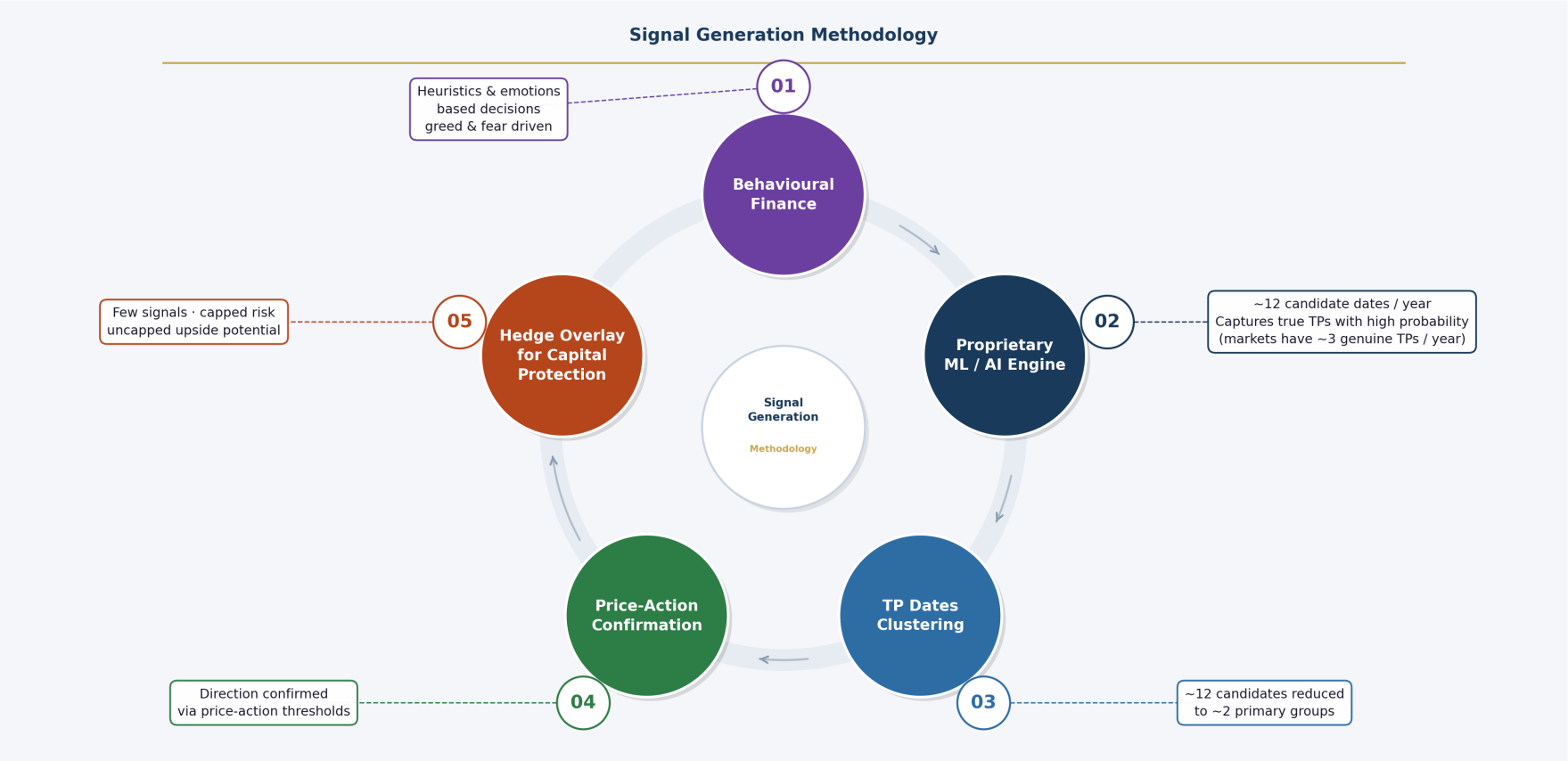
  Secondary use: opportunistic buy-the-dip entries

  Tertiary use: time-based support/resistance thresholds (complementing price-level analysis)

  All uses implemented by a contrarian approach

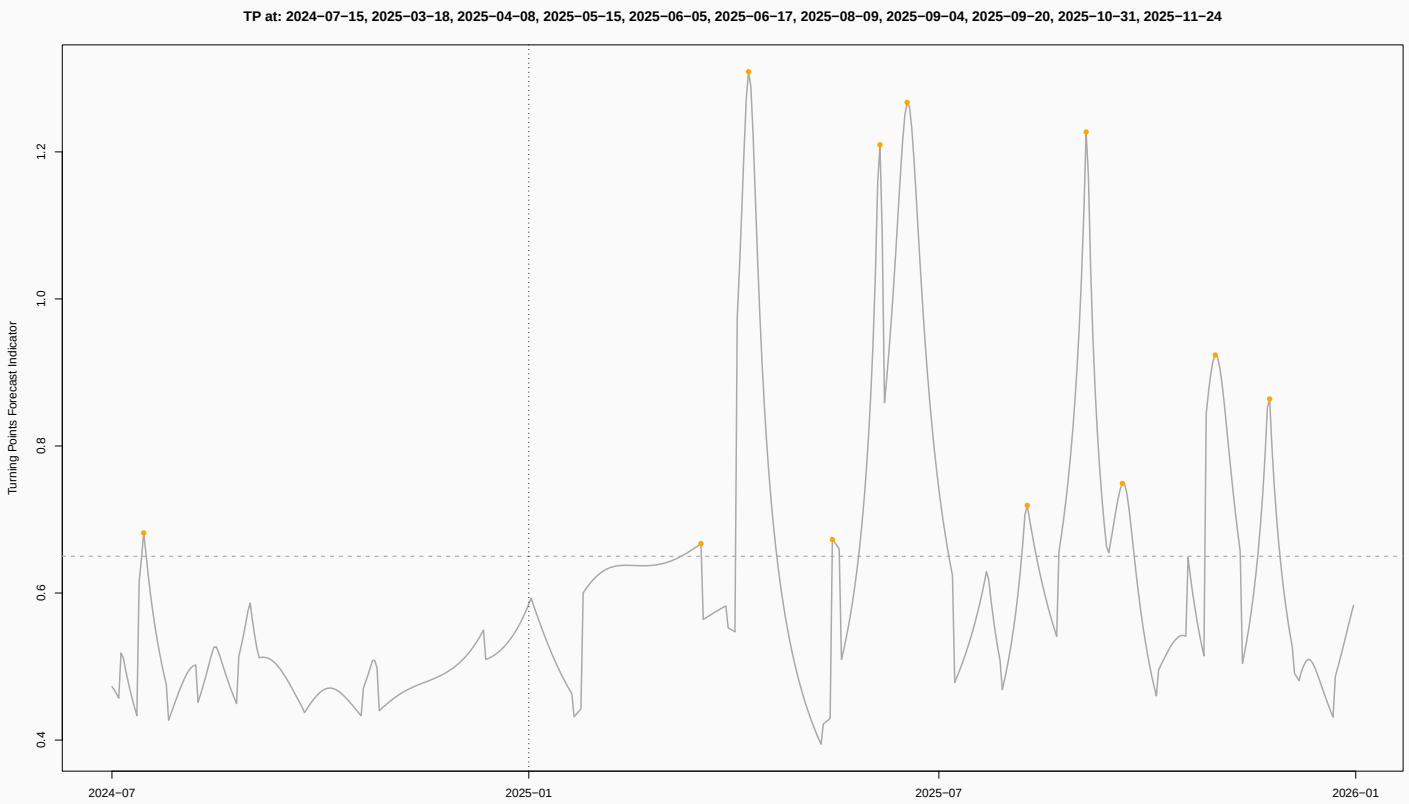
| Without TP Dates CP | With TP Dates CP |
|---|---|
| Ex-post information, after the events | Ex-ante information, ahead of time |
| Panic-driven decisions | Precise timing & workflow |
| Missed upside | **50%+ cost savings** |
| Level based (ex-post) SR lines | Time based (ex-ante) SR lines |

# Methodology Flowchart



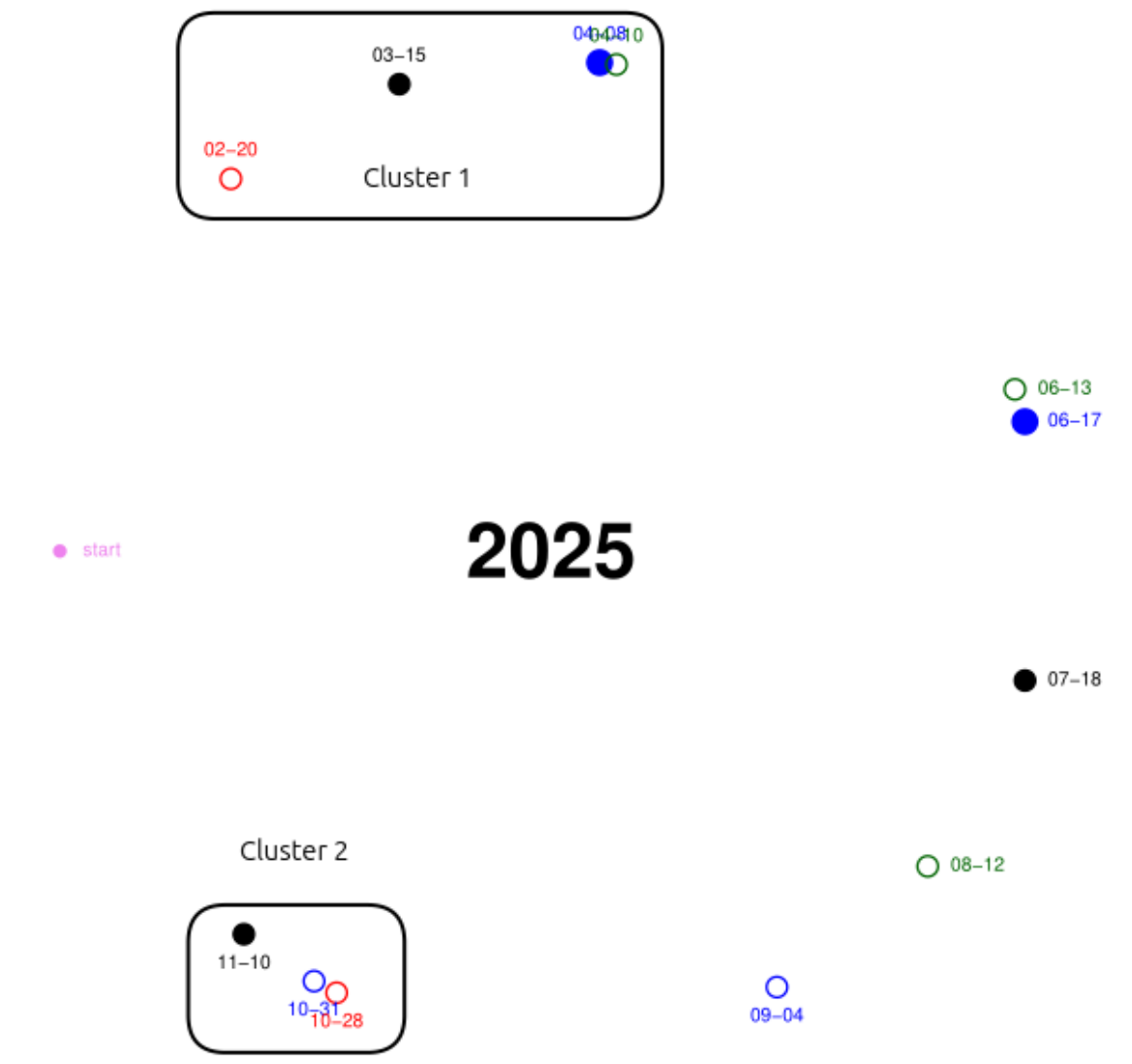
# SECTION WITH TRACK RECORD EXAMPLES STARTS HERE

- Height of peaks represents degree of alignments of specific cycles
- 8 Apr is date with highest peak and 17 Jun second highest (filled blue dots in next slide)

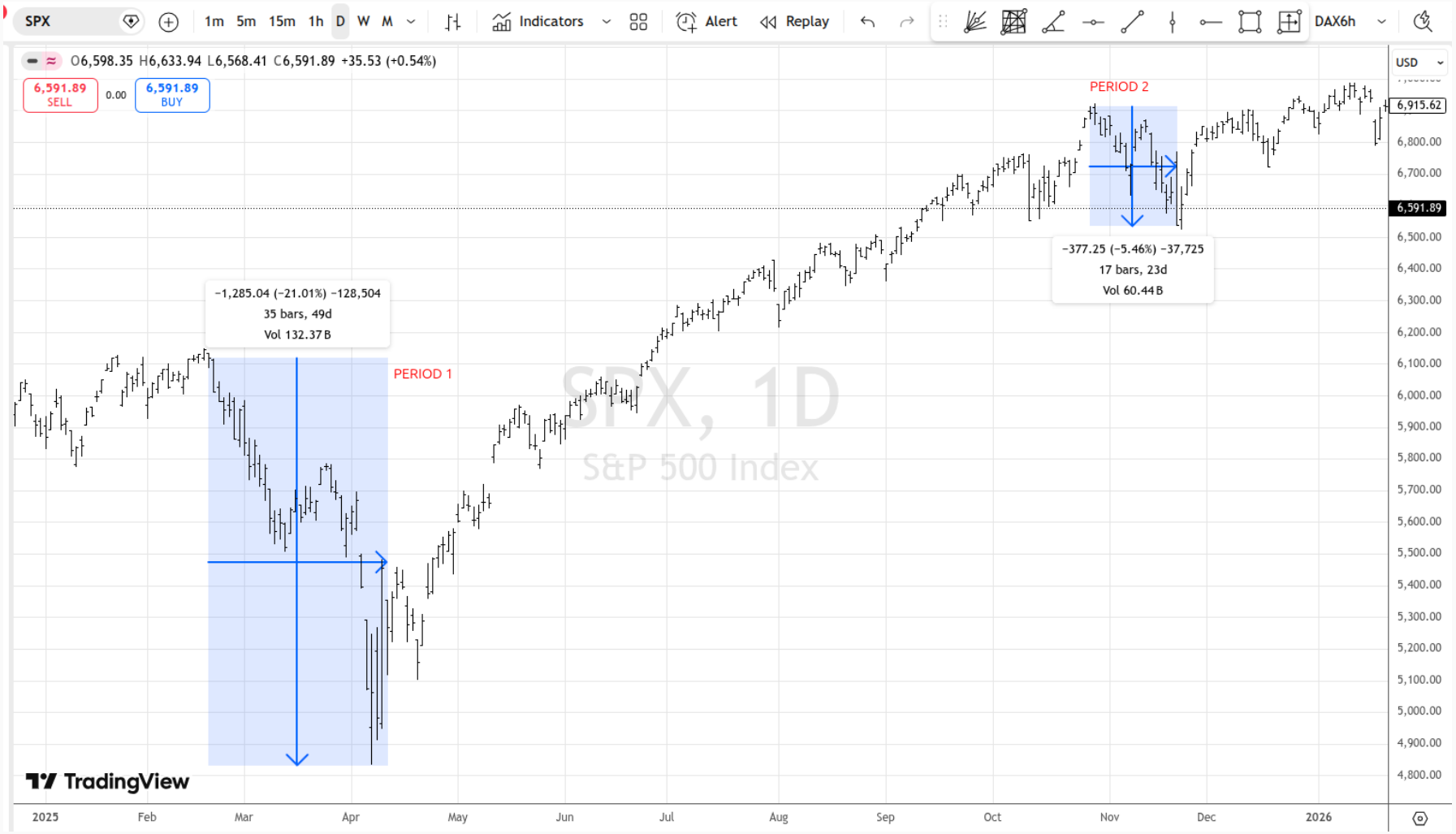


# 2025 Dates (identified ex ante)

- Dimensionality reduction: 250 trading days $\longrightarrow \sim$ 12 td
- **Period 1 (1st most important cluster):** 20 Feb to 10 Apr 2025 (alerting PMs in advance to be "ready to act" / "extra vigilant" in that period of the year)
- **Period 2 (2nd most important cluster):** 28 Oct to 11 Nov 2025
- All dates shown are final; none of them can be revised or retracted ex post
- All shown dates map to corresponding non revisable time based closing prices
- Price action for SP500 index during Period 1 and Period 2 highlighted by light blue shaded areas in the next slide

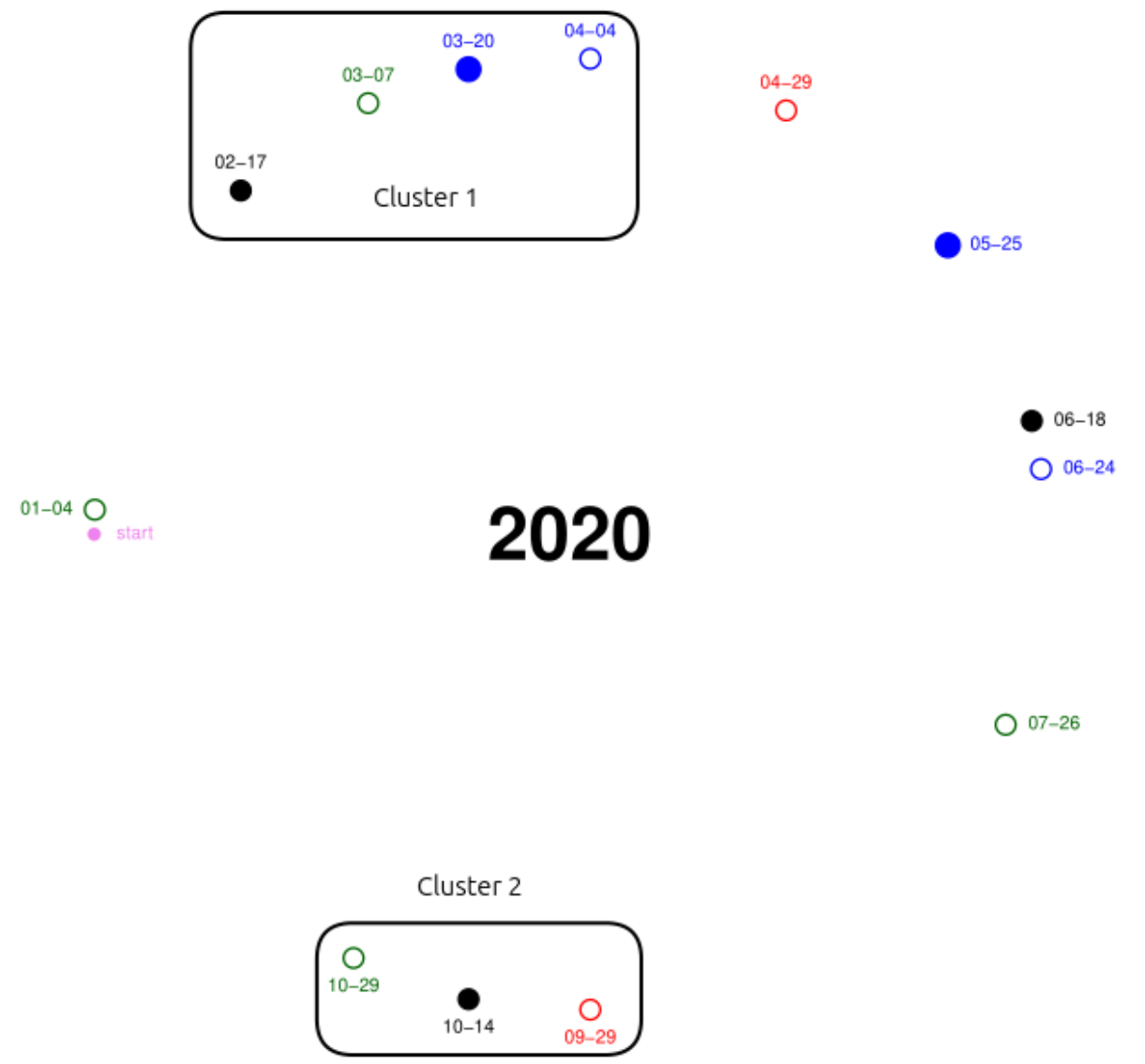


# 2025 Price Action (SP500 Index)

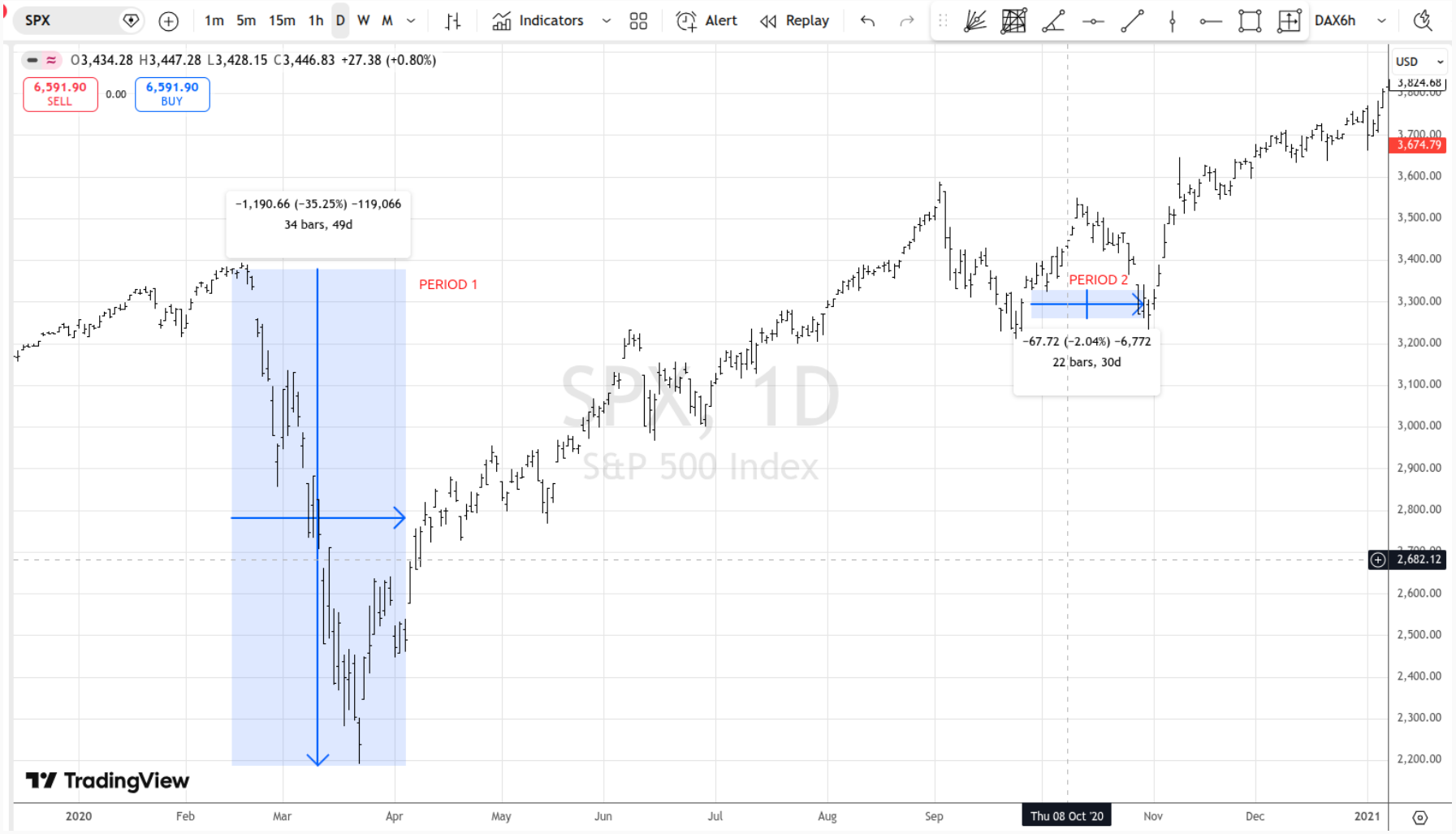


# 2020 Dates (identified ex ante)

- **Period 1 (1st most important cluster):** 17 Feb to 4 Apr 2020 (alerting PMs in advance to be "ready to act" in that period of the year, Covid!)
- **Period 2 (2nd most important cluster):** 29 Sep to 29 Oct 2025

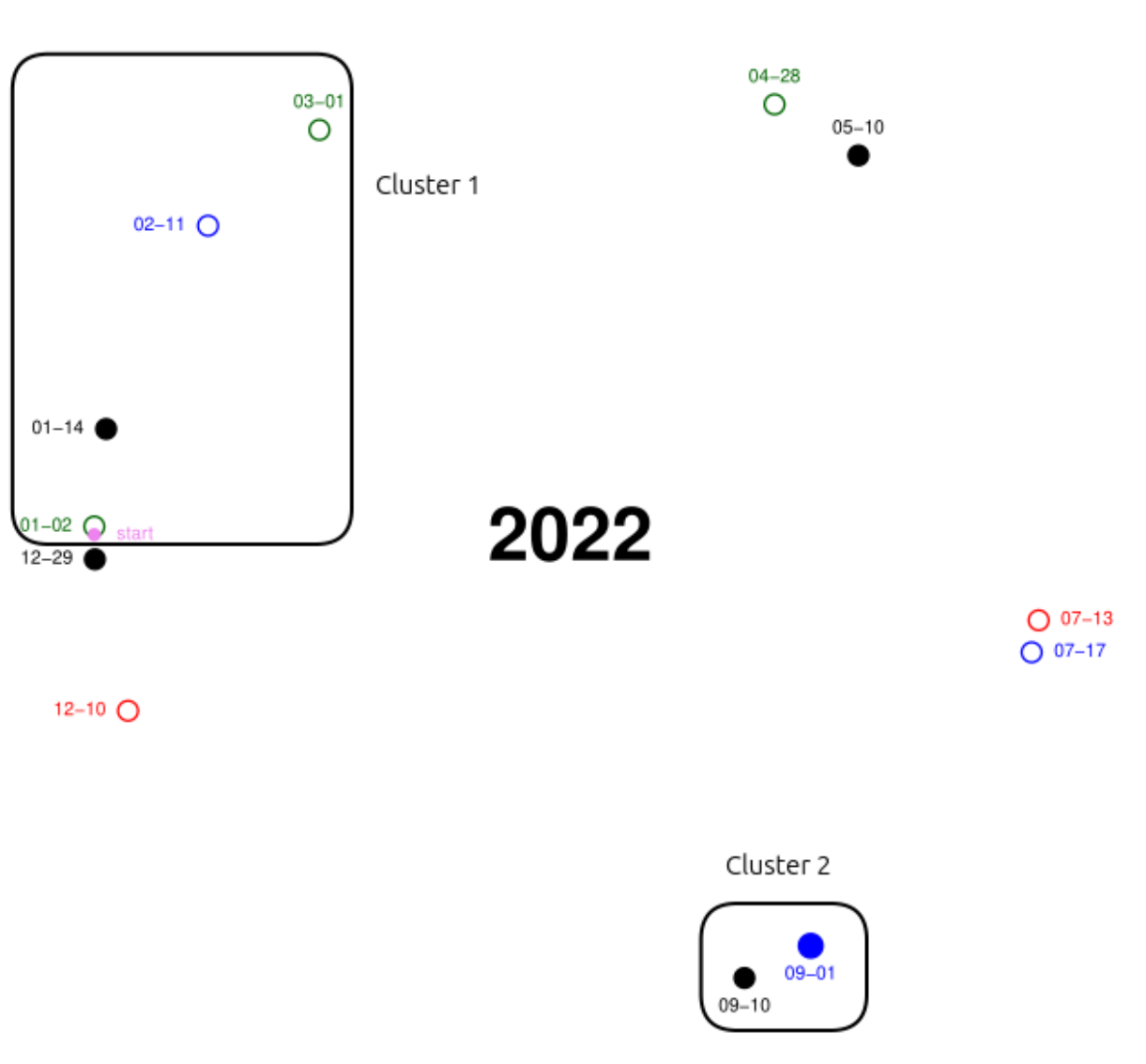


# 2020 Price Action (SP500 Index)



# 2022 Dates (identified ex ante)

- **Period 1 (1st most important cluster):** 2 Jan to 3 Mar 2022
- **Period 2 (2nd most important cluster):** Sep 2022
- NB: Our model failed to signal end of March to end of June decline



# 2022 Price Action (SP500 Index)

# 2026 Dates (with DAX Index Price Action)

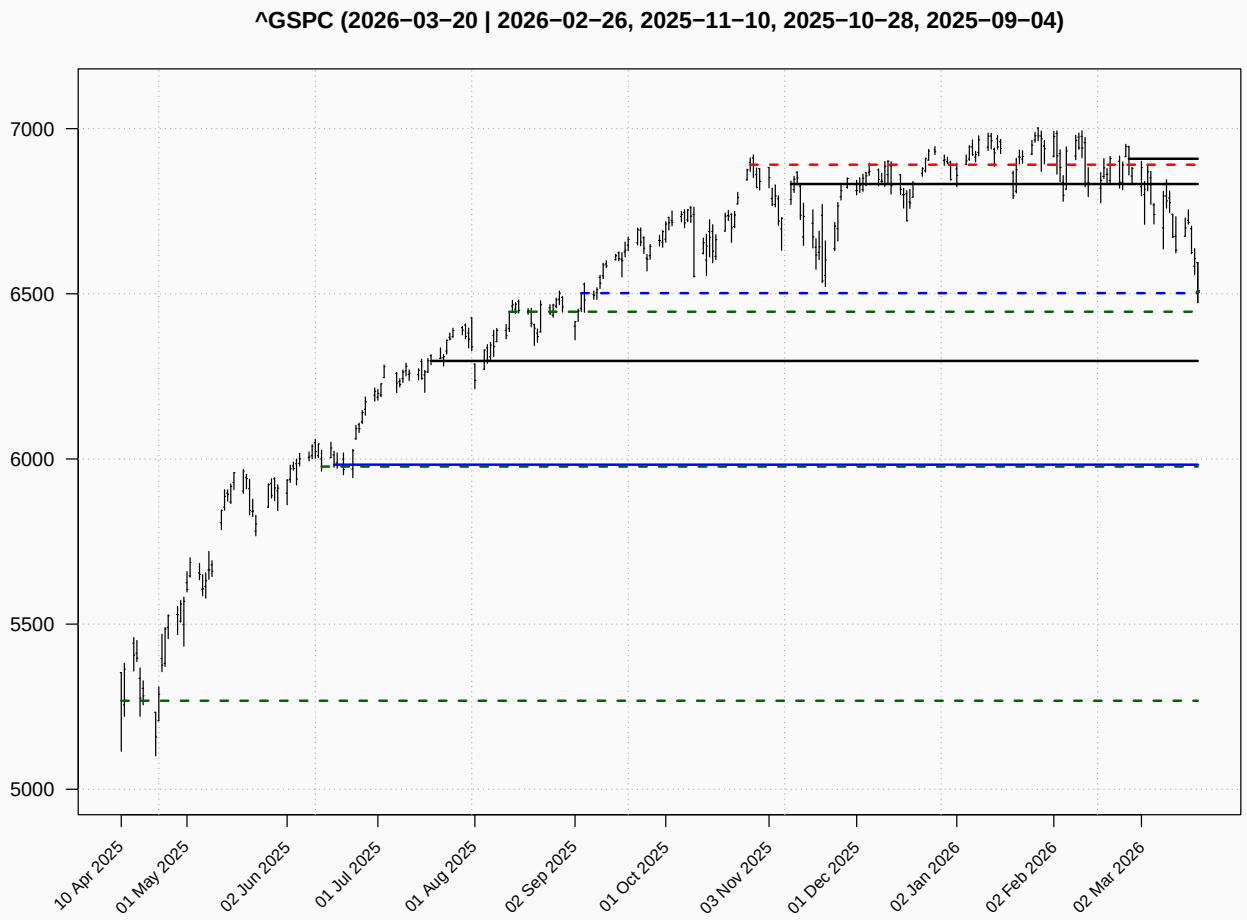
- NB: TP Dates revealed here for 2026:Q1 only
- **26 Feb and 25 Mar** were the two only TP candidate dates for 2026:Q1, alerting PMs in advance to be "ready to protect portfolio" on / around those high risk dates
- TP Dates CP system highlights key downside and upside risk dates, enabling portfolio managers to stay especially focused during those periods and to act promptly and in an orderly manner on risk management

# Too Good to be True?

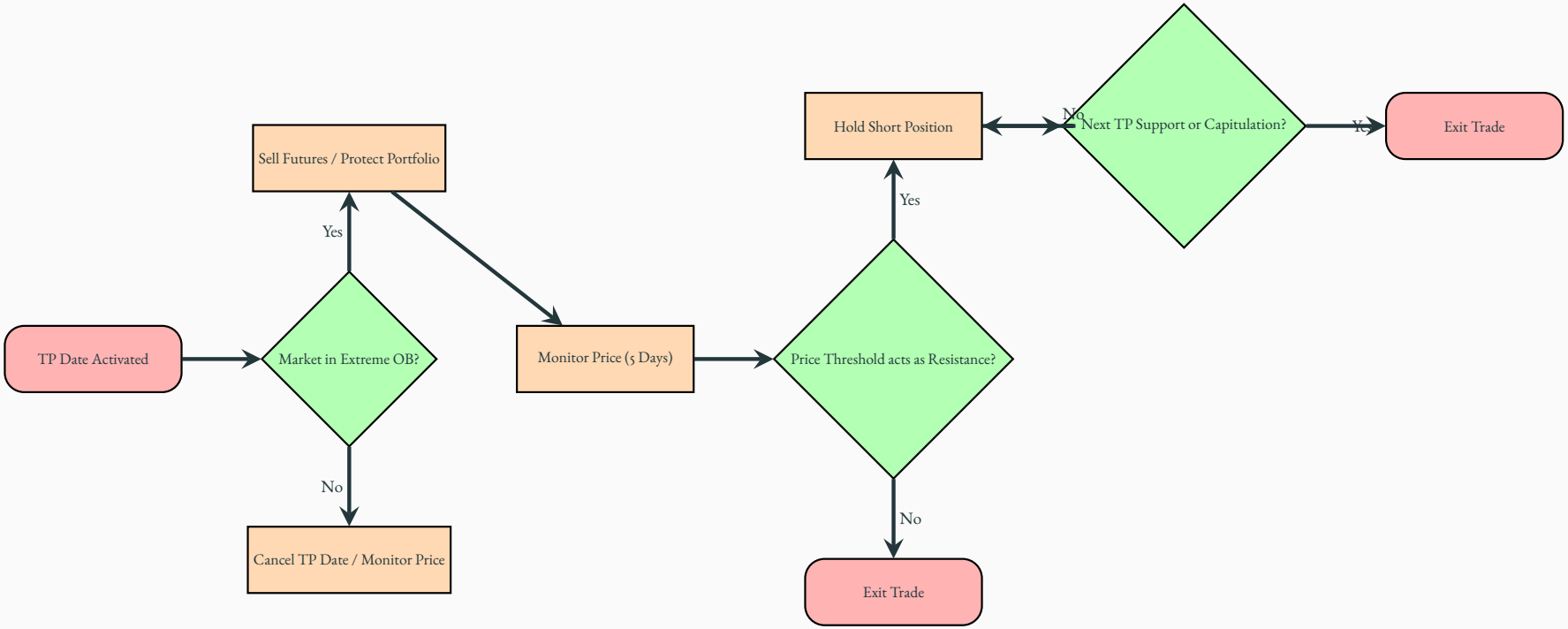
- We were somewhat surprised by the accuracy of our results
- Our research dates stem from fear/greed-driven actions, recurring cyclical & synchronised patterns – projectable into the future
- We used special metrics to quantify greed/fear emotions (VIX index is one commonly used metric which we did not use)
- We used ML/AI extensively to discover the patterns
- We cannot disclose details, but we have over 30 years' experience in the field
- We would never provide dates without predictive power, as our service depends on it

# Time Based Price Thresholds (support / resistance lines)

- Four color-coded TP dates map to four color-coded price thresholds
- Strongest support is at 6300, with next support cluster at 6000
- NB: 6300 is the 2025-07-18 close, shown as a black dot in the 2025 dial chart; 6000 is the 2025-06-17 close (blue dot) and 2025-06-13 close (green dot)
- NB: The same dates apply to other tickers of choice, including single stocks, bonds, commodities, and FX



# TP Dates CP 26 Feb 2026 Hedge Overlay: Simplified Flowchart



# Call to Action: Protect Your Portfolio Today

| Investor | Yr 0 | 50% Crash Yr | +8% Years | 10-Yr CAGR |
|---|---|---|---|---|
| **A (Protected)** | 100 | 95 | 190 | **6.56%** |
| **B (Unprotected)** | 100 | 50 | 100 | **0.00%** |

- Every investor needs a risk management tool
- Long-only investors must stay invested…*except during crashes*
- Market crashes destroy long-term capital
- No early warnings = massive drawdowns, lost compounding
- Be warned ahead of time of market downturns using our system & protect your portfolio today
- **"Doing nothing" seems neutral, but it's failing to protect capital** – act now with TP Dates CP

# Marco Bianchi, PhD

## Professional Background

- **30+ years** experience in quantitative research and systematic trading
- **PhD in Statistics & Econometrics** from London School of Economics
- **Eurohedge Award Winner** (2003) & Runner-Up (2006) for systematic equity strategies
- Former **Director at Barclays Capital**, **VP at Citi**, **Senior Analyst at Bank of England**

## Core Expertise

- Risk management and market timing models for institutional portfolios
- **AI/ML for crash prediction**: Machine learning models for assessing probability of major market corrections
- **AI-assisted development**: Claude Code for rapid quantitative R&D
- Time series econometrics, synchronization of time cycles
- Systematic alpha signal generation and portfolio construction

## Relevant Experience

- Co-Founder & Head of Quantitative Research at Ethus (2017–2025)
- Director & Owner at MMB Advisers (2009–2017), serving major institutional clients through custom-made advisory / risk management products
- Co-Manager $250M long/short European equities fund at Thames River Capital

## Key Achievements

18.82% annual return
2.04% max drawdown
(Thames River, Eurohedge 2006)

20% annual return
0.50% max drawdown
(Newman & Ragazzi, Eurohedge 2003)

## Publications

- *American Economic Review*
- *European Economic Review*
- *Journal of Applied Econometrics*
- *Journal of Business & Economic Statistics*
- Bank of England working papers